

Supply Strategies

Firms can alter the industry supply collectively based on the decisions they make. The sum of individual strategies going ahead determines the industry supply.

For situations of undersupply, the incentive is to increase supply by capacity addition.

The decision firms have to take is: whether to participate in the capacity expansion or not.

- Expansion often involves use of resources and leverage to benefit from increased profitability due to undersupply.
- The underlying assumption is that the profitability will sustain and not fall going forward.

However, as new supply comes up, the industry is no longer in a state of undersupply, and profitability reduces. This leaves the firm in a weak spot, as, with increased leverage and reduced profitability, the firm finds it difficult to operate efficiently going forward.

Here, the analyst should focus on the demand-supply gap in quantity terms.

- How much new CAPEX is being proposed?
- How much time will it take for new capacity to come up?

Based on the answers to these questions, the analyst should decide how much time it will take for undersupply to go away. Based on this decision, the analyst must strategize whether to participate or stay away from expansion when all others are doing it.